

Be advised: Asking someone to co-sign a loan for you is not something one would usually do on a first date.

Gal: "I had a nice time tonight. Dinner was great. Thanks a lot. Can I see you again sometime?"

Guy: "Okay, how about meeting me at the bank tomorrow? We can sign some papers, with you as the co-signer of a loan for me. Then we can grab some lunch."

I don't know. Maybe if she said "yes," it was a match that was meant to be.

Be smart. If someone asks you to be their co-signer, you only do so if you know that they can be trusted to pay back the loan. If they default, the creditor or lending bank then comes to you for full payment. Most of the time, you only talk money with close friends and family anyway, people you trust and confide in. Hooking up together on a loan is a great way to help out your college student or your elderly mother who never had credit in her own name or your best friend going through a financial hard time. They need the loan in their name, but with no credit history, the bank does not want to give them a loan. Without getting a loan, a person cannot establish a credit history. It is one big Catch-22.

Have your spouse get a car loan in her name, even if you co-sign and make the payments. Getting credit in each person's name is the game and getting good credit is the goal.

Co-signing is a great way to build credit, and it works both ways. For example, when Ed was just starting out and had no credit, he could not get a loan. His father agreed to be the co-signer on Ed's car loan. The bank knew that if Ed didn't pay, his father would. Ed did pay and in doing so, built up his credit. And that is what Ed did.

Years passed, and the banks and credit card companies had gotten their claws into Ed, as he was now married with a house and kids and all the bills that go along with that. Real life can get in the way and occasionally a bill can get paid late. The credit score then takes a hit. This time, Ed had credit established, but was looking to improve his credit. His father agreed to co-sign on another car loan, and Ed was able to rebuild his credit score with this account in good standing. Every good account counteracts one that needs help.